

MSRF Inc.,

v.

HMM Company Limited

Docket No. 22-20

Respondent's Reply to Complainant's Proposed Findings of Fact

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Before the
FEDERAL MARITIME COMMISSION

Washington, DC 20573

Docket No. 22-20

MSRF Inc. v. HMM Company Ltd.

RESPONDENT'S REPLY TO COMPLAINANT'S
PROPOSED FINDING OF FACTS

Respondent HMM Company Limited ("HMM") replies to the Proposed Findings of Fact of Complainant MSRF, Inc. ("MSRF"), pursuant to 46 C.F.R. § 502.70 and 46 C.F.R. § 502.214, and states as follows:¹

1. MSRF and Respondent HMM Company Ltd. ("HMM") entered into a service contract (SC US2124083) effective May 1, 2021. Declaration, ¶ 4; Deposition Transcript of Christopher McDonald, pg. 9:7-16 attached to the appendix as Exhibit 2 with certain exhibits to transcript attached.

RESPONSE: Admit to the extent that a service contract was entered into between MSRF and HMM with the effective date and contract number stated. Denied to the extent that the service contract is a stand-alone agreement because it incorporated HMM's Rules Tariff, Rule 208-A as amended effective March 1, 2022. (RX0001-06). The incorporation of the Rules Tariff was [REDACTED] [REDACTED] Mirasol Tr. 57:13-58:15 (RX0215-16); Reich Tr. 34:1-8; 40:20-41:3 (RX0266).

¹ Certain documents were marked as confidential in this case. Any such documents referenced herein that were marked as confidential are being filed in confidential and non-confidential versions.

2. HMM was MSRF's shipper and carrier for freight. Deposition Transcript of Sophia Hopman, pg. 12:19-21 attached to the appendix as Exhibit 3.

RESPONSE: Admit to the extent that HMM shipped containers on behalf of MSRF. Denied to the extent that HMM was "MSRF's shipper and carrier for freight" when HMM shipped only a small portion of MSRF's cargo; was the smallest provider of these services; and MSRF also had contracts with [REDACTED] [REDACTED] during the same period of the contract between MSRF and HMM. Mirasol Tr. 14:12-15:2 (RX0205); 15:23-16:23 (RX0205); 34:1-3 (RX0210); 117:7-9 (RX0230).

3. When executed, the duration of the service contract was from May 1, 2021 through April 30, 2022. Declaration, ¶ 5.

RESPONSE: Admit to the extent that the parties originally agreed to a term of May 1, 2022 through April 30, 2022. Denied to the extent that the service contract included amendments, including an agreed amendment to the contract which extended the term of the contract to July 8, 2022. (Service contract Amendment 13 (RX0175-87 or CX0176-0188)).

4. The service contract was amended on fourteen occasions. Declaration, ¶ 7. Many of the amendments [REDACTED]. Group Ex. A to Declaration.

RESPONSE: Admit to the extent that the service contract was amended fourteen times. Denied to the extent that these amendments "[REDACTED] [REDACTED]". The amendments were in some instances substantive and reflected the amended mutual agreement between the parties to modify the service

contract. Mirasol Tr. 49:3-14 (RX0213); 78:19-79:6 (RX0221). Further, the amendments to the service contract were [REDACTED]

[REDACTED]. Mirasol Tr. 49:3-14 (RX0213); 78:19-79:25. (RX0221).

5. The service contract provided for a minimum quantity commitment of 25 forty equivalent units (“FEUs”) from Asia to the U.S. during the initial contract period of May 1, 2021, through April 30, 2022. Group Ex. A. The service contract also identified the prices to be charged for various routes, including the prices for the FEUs. Declaration, ¶ 8.

RESPONSE: Admit to the extent that the original service contract provided for a minimum service of 25 *forty-foot equivalent units* (“FEUs”) and that the service contract contained prices to be charged for the carriage of cargo from various locations to various destinations. Denied to the extent that the term of the service contract was amended by Amendment 13, which extended the term of the service contract to July 8, 2022. (RX0175-87).

6. On June 2, 2021, Chris McDonald of HMM agreed that [REDACTED]
[REDACTED]. Ex. MC3 to Christopher McDonald Deposition Transcript, HMM0026379-81 and Transcript, pg. 19:16-22.

**RESPONSE: Denied. Complainant’s proposed Statement of Fact 6 is flatly contradicted by the evidence it purports to cite. Chris McDonald’s email relayed information about [REDACTED]
[REDACTED] McDonald Tr. 19:8 – 20:9 (CX0259); Hopman Tr. 31:22-32:9 (CX0271). The cited email² is an internal exchange**

² MSRF did not include the document it cites to here, but it is available at RX0393-95 (see HMM0026379).

[REDACTED]

Moreover, the documents cited by MSRF show that it booked a number of containers (in this case, high-cube FEUs which each individually amount to 1.125 FEUs under the Service Contract) on the following dates: June 16, 2021; June 21, 2021; August 13, 2021; August 17, 2021; August 26, 2021; and two high-cube FEUs on August 30, 2021. (RX0002)(showing the FFE breakdown under a service contract); (RX0325)(showing shipments under the Service Contract). Furthermore, this statement is unsupported by any documents showing that HMM declined to accept requests for space by MSRF.

7. After the negotiation of the initial contract, in July 2021, MSRF and Respondent negotiated an amendment for [REDACTED]

[REDACTED] Declaration, ¶ 9.

RESPONSE: Admit to the extent that [REDACTED] was added to the service contract through Amendment 7. (RX0097-0109); McDonald Tr. 19:8 – 20:9 (CX0259); Hopman Tr. 31:22-32:9 (CX0271). Denied to the extent that [REDACTED] [REDACTED] [REDACTED] Mirasol Tr. 58:2-59:1 (RX0216).

8. [REDACTED] [REDACTED] Declaration, ¶ 10. This was [REDACTED] [REDACTED] Declaration, ¶ 10.

RESPONSE: Denied. Complainant’s proposed Statement of Fact 8 is flatly contradicted by the evidence it purports to cite. The plain terms of the email referenced by the Declaration demonstrate that only [REDACTED], referring to twenty-foot equivalent units (“TEUs”). CX0203. One FEU is equivalent to two TEUs, meaning that HMM indicated that HMM would offer [REDACTED]. Complainant’s proposed statement that [REDACTED] is also flatly contradicted by the document cited by Complainant, which describes the [REDACTED] McDonald Tr. 19:8 – 20:9 (CX0259); Hopman Tr. 31:22-32:9 (CX0271). Proposed Statement of Fact 8 is further denied because MSRF has failed to produce any evidence showing that MSRF requested spaces from HMM during this period but was denied. Furthermore, MSRF did successfully book significant amounts of cargo during this period, [REDACTED] as discussed in ¶6.

9. The [REDACTED] was adopted in amendment 7 to the service contract. Declaration, ¶ 11. The execution of this amendment was based upon [REDACTED]. Declaration, ¶ 11.

RESPONSE: Denied. Complainant’s proposed Statement of Fact 9 is flatly contradicted by the evidence it purports to cite. Amendment 7 to the Service Contract does not contain [REDACTED] (RX0097-0109). Indeed, any such agreement would

have also required an amendment to the Service Contract's minimum quantity commitment, which remained unchanged. Furthermore, as discussed in ¶8, the email indicates that [REDACTED]

[REDACTED] (CX0203; CX0206).

Also, in testimony from both of HMM's witnesses, it was affirmed that [REDACTED]

[REDACTED]
McDonald Tr. 19:8 – 20:9 (CX0259); Hopman Tr. 31:22-32:9 (CX0271).

10. MSRF would not have agreed to [REDACTED]

[REDACTED]. Declaration, ¶ 12.

RESPONSE: Denied. Complainant's proposed Statement of Fact 10 is flatly contradicted by the evidence it purports to cite. No evidence suggests that the provision of [REDACTED]

[REDACTED]
[REDACTED]
[REDACTED] (CX0203). Furthermore, MSRF could have forgone shipping during this period if it was dissatisfied with the [REDACTED] in favor of its other three ocean carriers, [REDACTED]. Mirasol Tr. 14:12-15:2 (RX0205); 15:23-16:23 (RX0205); 34:1-3 (RX0210); 117:7-9 (RX0230). The agreement to Amendment 7 itself did not result in any additional costs to MSRF.

11. Respondent provided only 9 containers through August 31, 2021. Declaration, ¶ 14.

This was reflected in amendment 12 to the service contract to show the units moved before the service contract expired. Deposition Transcript, pg. 14:6-17.

RESPONSE: Admitted to the extent that Complainant shipped 8 containers during the period preceding August 31, 2021, which was equivalent to 9 FEUs under the terms of the Service Contract. (CX0206). Furthermore, Amendment 12 to the Service Contract was effective on April 13, 2022, at which point, 10.125 FEUs had been carried by HMM on behalf of MSRF. (CX0163-0171). To the extent any part of Complainant's Statement of Fact 11 relies on the "Deposition Transcript", Respondent denies such statements because it is not clear which "Deposition Transcript" is cited.

12. MSRF suffered further damages through HMM's refusal to provide space when requested by MSRF. For example, in email correspondence between MSRF and HMM requesting bookings from Kolkata, India to Montreal Canada, HMM refused to provide space. Declaration, ¶ 15.

RESPONSE: Denied. Complainant's proposed Statement of Fact 12 is flatly contradicted by the evidence it purports to cite. In its Declaration, MSRF cites to no examples of HMM refusing to provide space upon request by MSRF under the terms of the Service Contract. Instead, MSRF appears to cite to one document by Bates number while referring to an Exhibit in the Appendix reflecting a different document.³ In the Appendix, MSRF cites to an email exchange wherein MSRF requests advice regarding [REDACTED] (CX0237-0239). In the exchange, there is nothing that could be construed as a refusal of space by HMM. (CX0237-0239). In the latter email

³ The Declaration references the document starting at Bates number HMM0011027 but includes a document starting at Bates number HMM0003717.

exchange, MSRF claims that it is experiencing problems getting space; HMM requested additional details but MSRF failed to provide any additional information about any shipments being declined. (CX0240-CX0244).⁴ This is further denied to the extent that a route between Kolkata, India to Montreal, Canada is not referenced in either email chain: both cited email chains refer to shipments between China and Chicago. (CX0237-0239, CX02340-0244). In the document cited by Bates number HMM0011027, MSRF requested an update regarding a shipment from Kolkata, India, to Montreal, Canada, wherein HMM worked to determine the issues with the booking and provided a chart showing that no space was available during the time period requested by MSRF. (RX0403-12). The exchange concluded with HMM offering to continue pushing for space on behalf of MSRF when it became available. (*Id.*).

13. MSRF suffered damages in the total amount of \$228,171.52. Declaration, ¶ 22.

RESPONSE: Denied. MSRF relies on a flawed theory of damages wherein it alleges liability based on a calculation of average costs to ship a container to various destinations during the period of the contract. Reich Declaration ¶22 (CX0005). MSRF's damages claim therefore does not seek actual damages. This is flawed because it does not represent the actual damages suffered for each alleged refusal to ship MSRF containers (of which no such refusals are in the record) and because MSRF seeks to rely on calculations based on routes not listed in the Service Contract and wherein MSRF assumed that, where a rate from HMM was not available, that

⁴ The Appendix as provided by MSRF cannot be read. This document has also been produced in Respondents Appendix at RX0397-0401.

HMM would have shipped the container for nothing. (CX0247-0252).⁵ This is further denied because, under the extension of the Service Contract under Amendment 13, MSRF benefitted significantly from shipping at the Service Contract rates despite significant changes in the market; MSRF even compared this windfall to [REDACTED] [REDACTED] Mirasol Tr. 89:14-20 (RX0223); 92:6-21 (RX0224); 93:3-7 (RX0224); [(RX0331). MSRF admitted that, due to the changes in the market rates between the time the Service Contract began and the period of the extension, MSRF benefitted by at least [REDACTED] when it was able to ship an additional 18 FEUs during the extension at the Service Contract rate when compared to the market rates at that time. Mirasol Tr. 89:10-91:13 (RX0223-24). MSRF also admitted that HMM [REDACTED] [REDACTED] [REDACTED]

Mirasol Tr. 92:13-93:2 (RX0224).

14. The damages worksheet lists each shipment of goods by MSRF on which it paid freight costs in excess of those agreed by HMM in the service contract. Declaration, ¶ 18.

RESPONSE: Denied. HMM more than met the MQC obligation to MSRF under the Service Contract by carrying 46.875 FEUs. (CX0206-0235) Furthermore, many of MSRF's alleged excess freight costs are attributable to shipping lanes that were not a part of the Service Contract. (CX0247-0252; CX0007-0201). As explained above, MSRF's calculations include assumptions that HMM would have charged no freight

⁵ See, for example, on CX0250. In its calculation of the "Hyundai Difference," MSRF calculates on rows starting with File #s 31 and 39, that the Hyundai SC rate was \$0. In the next column, MSRF assumes that the difference in rate was the entire cost of shipping. Neither of the lanes for these rows (Qingdao to Apple Valley, CA and Qingdao to Tremont, PA) were part of the Service Contract between HMM and MSRF. This flawed calculation strategy is repeated throughout MSRF's alleged damages calculations.

at all where a rate did not exist because a lane was not a part of the Service Contract. (CX0247-0252). Furthermore, the agreed MQC under the Service Contract includes 25 FEUs, which were shipped plus additional cargo volumes, while MSRF lists [REDACTED] containers that it alleges should be part of its damages calculations.⁶ CX0246. MSRF has also filed a claim against Yang Ming for what appear to be these same damages and admitted that [REDACTED] [REDACTED] Mirasol Tr. 117:10-118:13 (RX0230-31); *see generally* Verified Complaint, FMC Dkt. 22-21, MSRF v. Yang Ming Transport Corporation (August 19, 2022).

15. The damages also include the costs related to shipments which were originally booked for movement from the port of lading to an inland destination in the United States, but the movement was terminated at the port of unloading because HMM was unable to provide rail movement to the original destination. These additional costs are for transloading and trucking charges which would not have been incurred if HMM had provided the necessary container space on its vessels as agreed to by HMM. Declaration, ¶ 19.

RESPONSE: Denied. It is unclear from the spreadsheet provided by MSRF which shipments allegedly reflect the alleged failures to move cargo to inland destinations. CX0246-0252). It is also unclear from the calculations how MSRF included this in its average costs or accounted for these distinctions. *Id.* No evidence has been provided which shows a shipment by MSRF wherein HMM modified its transport from an inland destination to a port. Further, the Service Contract is for ocean carriage, not rail carriage, and is devoid of language requiring HMM to make rail bookings for MSRF's cargo.

⁶ MSRF's Damages Worksheet Tab 1 ("Summary") shows 124 containers, but the subsequent Tabs 2, 3, and 4 include data for an unclear number of containers. Damages Spreadsheet (RX0391).

16. The total damages are [REDACTED] on a total of 124 FEUs. This is an average of [REDACTED] per FEU. Declaration, ¶ 20.

RESPONSE: Denied. HMM had an obligation to carry 25 FEUs as the MQC in the Service Contract and exceeded its obligation by carrying in excess of 46 FEUs for MSRF. (CX0206-0235). Nowhere in any written agreement is there evidence of an [REDACTED] Reich Tr. 88:2-10 (RX0278). MSRF has no evidence that an agreement to ship more than 25 FEUs on the part of HMM exists because it does not.

17. HMM provided MSRF with only 9 FEUs during the initial contract period. Declaration, ¶ 21. Deposition Transcript of Sophia Hopman, pg. 17:21-24; 18:1-12, Exhibit 3 to the Appendix.

RESPONSE: Denied. HMM shipped 46.875 FEUs for MSRF during the term of the Service Contract, as amended by the parties. (CX0206-0235; CX0007-0201).

18. As a result, MSRF's damages are calculated by taking [REDACTED] (which is the average additional charges per FEU) and multiplying by 16 (which is the amount of FEUs HMM did not provide during the term). As a result, the damages sought by MSRF is [REDACTED] Declaration, ¶ 22.

RESPONSE: Denied. MSRF's damages calculation is flawed for a variety of reasons, only some of which are listed here. First, MSRF fails to calculate the number of containers shipped under the term of the Service Contract, as amended by the parties, which includes 46.875 FEUs, which is in excess of the agreed 25 FEU MQC. (CX0206-0235; CX0007-0201). Second, MSRF assumes that it can use an average shipping figure without demonstrating any single shipment that was refused by HMM and

shipped with another carrier for a fixed price. Third, MSRF assumes, in its damages calculations, that HMM would have shipped cargo on lanes not included in the Service Contract, on behalf of MSRF, [REDACTED] (CX0247-0252). Fourth, on information and belief, these damages that are alleged represent damages claimed separately in MSRF's claim against Yang Ming before the FMC.⁷ *see generally* Verified Complaint, FMC Dkt. 22-21, MSRF v. Yang Ming Transport Corporation (August 19, 2022). Finally, MSRF benefitted from the extension of the Service Contract for an amount in excess of [REDACTED] when HMM shipped in excess of 25 FEUs during a period when market rates were greatly in excess of the Service Contract rates, so much so that MSRF described the benefit as comparable to [REDACTED] Mirasol Tr. 89:14-20 (RX0223); 92:6-21 (RX0224); 93:3-7 (RX0224); (RX0331).

Dated: May 12, 2023

⁷ MSRF's damages calculation appear to be supported by Bates references, as stated in Reich Declaration ¶16 where he states that "the underlying documents supporting the damages worksheet were produced in discovery to HMM and the worksheet has reference to the specific bates-numbers for the underlying business records." However, these documents only show invoices paid by MSRF but do evidence any refusal by HMM to transport any container cited in the spreadsheet.

Respectfully submitted,

COZEN O'CONNOR

By: _____ /s/

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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 12th day of May, 2023, a true and correct copy of the foregoing Respondent's Reply to Complainant's Proposed Findings of Fact was served via electronic mail on:

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